

Grasim Industries Ltd

Investment Rating : Average

Company Overview

Website	https://www.grasim.com/
Sector	nan
Market Cap	478,951.82 Cr
PE Ratio	79.35
PB Ratio	5.68
Dividend Yield	0.98 %

Financial Quality

ROE	6.9
ROCE	9.3
CFO Quality	Moderate
FCF CAGR	nan%
Capital Pattern	Aggressive

Capital Allocation

Capital Score	60.0
Reinvestment	Aggressive Expansion
Debt Trend	Increasing Debt
Leverage	High

Business Overview

Grasim Industries Limited is the flagship company of the Aditya Birla group, it ranks amongst India's largest private sector companies. On standalone basis, GIL's core businesses comprise of viscose Staple fibre (VSF), caustic soda, speciality chemicals, rayon-grade wood pulp (RGWP) with plants at multiple locations. It also has certain other businesses such as fertiliser, textile

Strengths

Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.
Earnings per share declining for 3 consecutive years reflects deteriorating profitability.